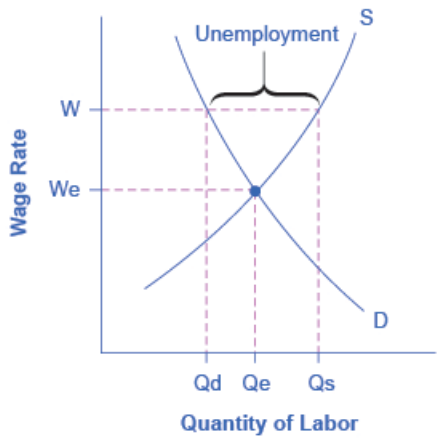

Figure 8.6 Sticky Wages in the Labor Market Because the wage rate is stuck at W, above the equilibrium, the number of those who want jobs (Qs) is greater than the number of job openings (Qd). The result is unemployment, shown by the bracket in the figure.

Figure 8.7 shows the interaction between shifts in labor demand and wages that are sticky downward. **Figure 8.7** (a) illustrates the situation in which the demand for labor shifts to the right from D_0 to D_1. In this case, the equilibrium wage rises from W_0 to W_1 and the equilibrium quantity of labor hired increases from Q_0 to Q_1. It does not hurt employee morale at all for wages to rise.

Figure 8.7 (b) shows the situation in which the demand for labor shifts to the left, from D_0 to D_1, as it would tend to do in a recession. Because wages are sticky downward, they do not adjust toward what would have been the new equilibrium wage (W_1), at least not in the short run. Instead, after the shift in the labor demand curve, the same quantity of workers is willing to work at that wage as before; however, the quantity of workers demanded at that wage has declined from the original equilibrium (Q_0) to Q_2. The gap between the original equilibrium quantity (Q_0) and the new quantity demanded of labor (Q_2) represents workers who would be willing to work at the going wage but cannot find jobs. The gap represents the economic meaning of unemployment.

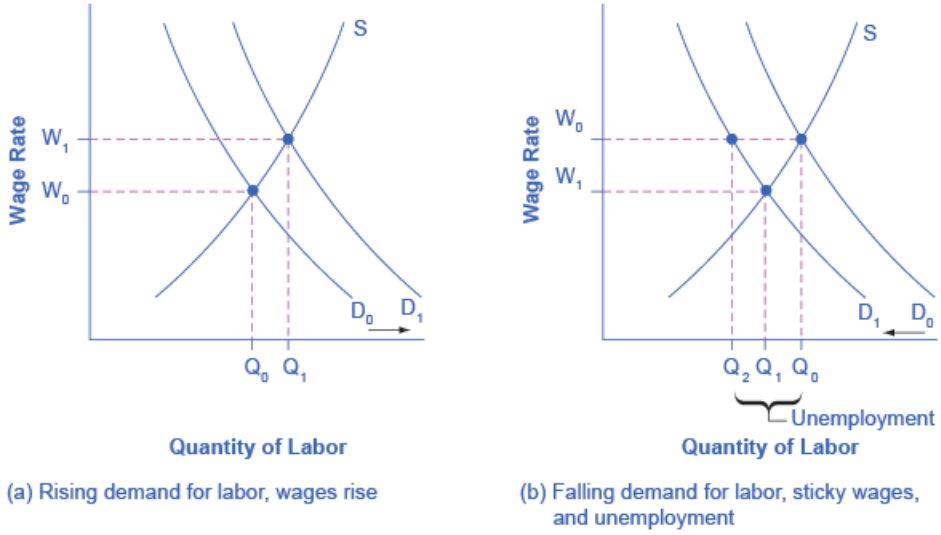

Figure 8.7 Rising Wage and Low Unemployment: Where Is the Unemployment in Supply and Demand? (a) In a labor market where wages are able to rise, an increase in the demand for labor from D_0 to D_1 leads to an increase in equilibrium quantity of labor hired from Q_0 to Q_1 and a rise in the equilibrium wage from W_0 to W_1. (b) In a labor market where wages do not decline, a fall in the demand for labor from D_0 to D_1 leads to a decline in the quantity of labor demanded at the original wage (W_0) from Q_0 to Q_2. These workers will want to work at the prevailing wage (W_0), but will not be able to find jobs.